

***RENT COMPARABILITY STUDY FOR THE
“GOLDEN LINK MANOR” APARTMENT
DEVELOPMENT LOCATED AT 1132 24TH STREET,
IN THE CITY OF OGDEN, WEBER COUNTY, UTAH***

Effective Date: October 16, 2024

Prepared For:

***Mr. Aaron Stark
Portfolio Management
Related Affordable
1430 5th Street, Suite 101
Santa Monica, CA 90401***

Date Issued: November 18, 2024

Prepared By:



CORNERSTONE VALUATION SERVICES

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CVS File #24.055-K

CORNERSTONE VALUATION SERVICES
REAL ESTATE APPRAISAL AND CONSULTING

November 18, 2024

Mr. Aaron Stark
Portfolio Management
Related Affordable
1430 5th Street, Suite 101
Santa Monica, CA 90401

Re: Rent Comparability Study
Golden Link Manor
1132 24th Street
Ogden, UT 84401
Section 8 Contract #: UT99T855002

Dear Mr. Stark:

In accordance with your request, I am pleased to submit this *Rent Comparability Study* for the “Golden Link Manor” apartment development located at 1132 24th Street, in the City of Ogden, Weber County, Utah. The property consists of an existing Section 8 apartment community featuring 31 apartment units, 30 of which are Section 8 units, located within a single, one-to-three-story building. The development was constructed in 1987 and is restricted to seniors age 62+ and/or disabled individuals. Our most recent inspection of the property and market area occurred on October 16, 2024. For purposes of this report, the identified property is referred to as the “subject property.”

No renovation work is proposed and the property was analyzed on an “As Is” basis only. Based on the analysis conducted herein, our **Estimate of Market Rent** is below.

Estimates of Market Rent - "As Is"					
Unit Type	# Units	Avg. Unit Size (SF)	Market Rent (\$/Mo.)	Market Rent (\$/SF/Mo.)	Prepared Grid? (Y/N)
1 BR / 1 BA	30	537	\$1,580	\$2.94	Y

Nature of the Assignment

Cornerstone Valuation Services has been engaged to provide a *Rent Comparability Study* for the subject property. The primary *purpose* of this report is to provide opinions of market rent for the subject units, effective as of October 16, 2024 (the date coinciding with our most recent inspection of the subject property and market area) on an “As Is” basis.

Rent Comparability Studies (RCS) are required on HUD-financed properties and are needed for those projects renewing their Section 8 contracts for one year or multiple years, or for projects not currently covered under a HAP Contract that are proposed to be covered, or partially covered, under a HAP Contract. Market rent is the rent that a knowledgeable tenant would most probably pay for the units as of the effective date of this report if the tenants were not receiving rental subsidies and rents were not restricted by HUD or other government agencies.

I understand that HUD/the Section 8 Contract Administrator (CA) and the project owner will use the opinions of market rents to determine: 1) the owner's options for renewing the project's Section 8 contracts; 2) the maximum rents allowed under any renewal contract, and/or 3) the reasonableness of the current contract rents.

Report Standards and Reporting Guidelines

The RCS was prepared in accordance with the Uniform Standards of Professional Appraisal Practice (USPAP) and the requirements in Chapter Nine of HUD’s Section 8 Renewal Guide. Market Rents were defined and estimated in accordance with Sections 9-8 through 9-13 and Appendix 9-1-2 of the Chapter Nine guidance.

Limitations of Use and Applicability of Conclusions

The accompanying report, of which this letter is a part, describes the site, building improvements, pertinent data considered, and discusses the methods of appraisal used in reaching our conclusions. Neither the report, the materials submitted, nor our firm name may be used in any prospectus or printed materials prepared in connection with the sale of securities of participation interests to the public. Due to the nature of real estate investments and the variety of economic factors that influence value, the conclusion(s) presented in this report is/are valid only for the effective date(s) stated herein. Please Note: I have not provided previous valuation services regarding the property that is the subject of this report within the three-year period immediately preceding acceptance of this assignment.

Threshold Test

As required by Section 9-14 of the Chapter Nine guidance, we compared the subject's gross rent potential calculation with 150% of the Small Area FMR ("SAFMR") gross rent for the property zip code (84401) as published annually by the Department. Shown in the tables below are the Gross Rent Potential Calculations for the subject property, as well as the 150% SAFMR calculations. As shown, the subject's gross potential monthly rent of \$47,400 is less than 150% of the SAFMR gross rent potential of \$51,750. The RCS does NOT exceed the mandatory market rent threshold.

Gross Rent Potential Calculation - "As Is"					
Unit Type	# of Units	Concluded Rent (Net)	Utility Allowance	Gross Rent	Monthly Rent
1 BR / 1 BA	30	\$1,580	\$0	\$1,580	\$47,400
				Total	\$47,400

SAFMR Gross Rent Potential Calculation (84401)			
Unit Type	# of Units	Gross Rent	Monthly Rent
1 BR / 1 BA	30	\$1,150	\$34,500
Total 2024 Gross FMR Rent			\$34,500
150% of FMR Gross Rent			\$51,750
Subject's Concluded Gross Rent			\$47,400

The subject's rent conclusions appear reasonable based on the available market data and the comparables. In addition, the concluded rents are bracketed by the adjusted rents reflected by the comparables, indicating that the rents are achievable and supportable within the market and with respect to rent levels at competing properties.

I have enjoyed serving you in this matter.

Sincerely,



Kyle L. Bjerke, Partner
Utah Certified General Appraiser No. 14185571-CG00

Scope of Work

This Rent Comparability Study was completed in accordance with the requirements set forth in Chapter Nine of HUD's Section 8 Renewal Guide. Kyle L. Bjerke, a partner at Cornerstone Valuation Services and a State Certified General Appraiser, performed all research and completed the RCS. The following actions were taken to complete this RCS.

- On October 16, 2024, Kyle L. Bjerke inspected the subject property (interior and exterior), the market area, and exteriors of the comparable properties utilized herein. The development features one unit type. Two representative units were inspected.
- During the subject property inspection, Kyle L. Bjerke was accompanied by the on-site property manager, Ms. Monica Mora (801-485-8445) as well as by the property's maintenance technician. Subject property information was provided primarily by Mr. Aaron Stark, Portfolio Management, Related Affordable (714-316-3021). Interviews were conducted to determine the property's amenities, finishes, utility structure, construction materials, and other pertinent property information. Unit sizes were provided by management and were determined to be reasonably accurate during our inspection.
- Kyle L. Bjerke researched comparable apartment rental activity in the market area. The research included gathering data from internet sites and rental publications, public data, owners and managers of local apartment properties, local real estate brokers, fellow appraisers, and/or files of Cornerstone Valuation Services, as needed.
- Exterior inspections of all comparable properties utilized herein were conducted on October 16, 2024.
- Phone conversations were attempted to be held with property managers for all comparable properties utilized. Some managers were willing to disclose the requested data while some data was gathered from property websites and other credible sources to confirm all data and to collect additional information about each comparable, including size, age, amenities, occupancy rates, and other general information.
- Kyle L. Bjerke completed the data & adjustment columns of the Rent Comparability Grids using the instructions in Appendix 9-1 of Chapter Nine.
- Kyle L. Bjerke was fully qualified at the time of engagement to perform the services provided. No additional steps were needed after this date to satisfy the Competency Rule under USPAP. Please refer to the appraiser qualifications that are included within the **Appendix**.

Line 46. Estimate of Market Rent. The comparable rentals produced an average adjusted rent of \$1,558 per month and a median adjusted rent of \$1,574 per month, while the adjusted range was from \$1,500 per month to \$1,590 per month. The comps were well-dispersed throughout the adjusted range. Sun Chase required the lowest gross adjustments and produced the highest adjusted rent at \$1,597 per month. All considered, we conclude to a market rent of **\$1,580 per month** for the subject's one-bedroom / one-bathroom units, which is based on the adjusted rent of the most comparable property (Sun Chase) with slight downward pressure to account for the average and median adjusted rent of the data set as a whole. This conclusion is lower than two of the comparables and higher than three (though very close to one of these three).

Rent Comparability Grid			Unit Type →		1 BR / 1 BA - 537 SF		Subject's FHA #:					
	Subject		Comp #1		Comp #2		Comp #3		Comp #4		Comp #5	
	Golden Link Manor		Harrison Pointe		Mirador Apartments		Sun Chase		Cliffs at Canyon Ridge		Arbor Cove	
	1132 24th Street		3257 Harrison Blvd		3415 Harrison Blvd		425 Park Blvd		1455 Valley Dr		3290 Van Buren Ave	
	Ogden / Weber County		Ogden / Weber		Ogden / Weber		Ogden / Weber		Ogden / Weber		Ogden / Weber	
			Net	Gross	Net	Gross	Net	Gross	Net	Gross	Net	Gross
43	Net/ Gross Adjmts B to E		\$240	\$570	\$373	\$565	\$322	\$382	\$221	\$527	\$390	\$548
G.	Adjusted & Market Rents		Adj. Rent		Adj. Rent		Adj. Rent		Adj. Rent		Adj. Rent	
44	Adjusted Rent (5+ 43)		\$1,531		\$1,500		\$1,597		\$1,574		\$1,590	
45	Adj Rent/Last rent				119%		133%		125%		116%	
46	Estimated Market Rent		\$1,580		\$2.94 ←		Estimated Market Rent/ Sq. Ft					